

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores
Large Cap (>\$200B) · Report Date: June 26, 2026
Latest financials: Q1 FY2026 · Model data as of 2026-06-26

UNDERWEIGHT

Blended Target: \$69.41

DCF + Comps + Analyst (see cross-check table)

Implied upside: -40.0%

Price (Jun): \$115.69

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$69.41 (-40.0% vs \$115.69); DCF 38% + Comps 62% (pre-cap \$67.60 -> \$69.41) valuation after outlier checks (audit-capped).
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Analyst consensus excluded from blend (Analyst consensus lags / diverges >35% from comps).

INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **UNDERWEIGHT** rating; blended target \$69.41. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$920.67B	Shares Out.	7958.1M
52-Week Range	\$94.23 – \$135.16	P/E (TTM)	40.7x
P/B	9.8x	Beta	0.60
Avg Volume	20.47M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$725.30B	Rev Growth	+7.3%
Op. Margin	4.2%	FCF (TTM)	\$14.92B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	765,224	810,066	849,370
Revenue Growth (%)	N/A	4.7%	7.3%	5.9%	4.9%
Net Income (\$M)	19,436	21,893	23,491	24,868	26,074
Net Income Growth (%)	N/A	12.6%	7.3%	5.9%	4.9%
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
ROE (%)	21.4%	22.0%	23.6%	22.6%	22.6%
EPS (\$)	2.44	2.75	2.95	3.12	3.28
Book Value / Share (\$)	11.44	12.52	12.52	13.80	14.49
P/E (x)	47.37	42.05	39.19	37.02	35.31
P/B (x)	10.12	9.24	9.24	8.38	7.98
Dividend Yield (%)	86.0%	86.0%	86.0%	86.0%	86.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$81.93	-29.2%	38% (pre-cap)	Included in pre-audit blend; final target audit-adjusted
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	\$54.60	-52.8%	—	Peer median P/E 19.2x
Comps — EV/EBITDA (peer median)	\$63.29	-45.3%	—	Peer median 12.1x
Comps — Blended (avg. of available multiples)	\$58.95	-49.0%	62% (pre-cap)	Included in pre-audit blend; final target audit-adjusted
Analyst consensus (Yahoo Finance)	\$138.95	+20.1%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$69.41	-40.0%	100%	DCF 38% + Comps 62%; pre-cap \$67.60 -> \$69.41
Audit (≥30% vs price)	—	—	—	Target capped at ±40% vs price (model dispersion)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$14.92B
PV explicit (5Y)	\$87.64B
PV terminal	\$564.38B
Equity value (adj.)	\$652.02B
Implied price	\$81.93
vs. current	-29.2%

INDUSTRY ANALYSIS

1. Industry Overview

Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates through three segments: Walmart U.S., Walmart International, and Sam's Club U.S. It operates supercenters, supermarkets, warehouse clubs, cash and carry stores, and discount stores under Walmart and Walmart Neighborhood Market brands;...

2. Key Trends

- Moderate revenue expansion (7.3% YoY)
- Defensive profile (β=0.60)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 40.7x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
COST	Costco Wholesale Corpo	\$422.43B	47.9x	30.2x	3.0%	+21.5%
TGT	Target Corporation	\$63.76B	18.6x	9.5x	3.2%	+6.7%
DG	Dollar General Corpora	\$26.36B	16.9x	11.9x	3.6%	+3.4%
DLTR	Dollar Tree, Inc.	\$23.80B	19.9x	12.2x	6.5%	+7.2%
WMT*	Walmart Inc.	\$920.67B	40.7x	22.1x	3.1%	+7.3%

* Subject company. Commands premium p/e vs peers. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.